VISIVAULT ANALYTICS

Prairie Home Furnishings: Financial Performance Analysis

Integrated three-statement model, ratio analysis, forecast and validation

⚠ **Synthetic demonstration data — not actual company financial or operational records.**

Demonstration developed by VisiVault Analytics Ltd. · October 2026 · Financial analysis

Prairie Home Furnishings is a FICTIONAL Calgary furniture retailer. Product categories, manufacturers and CAD list prices reflect a public Calgary furniture catalogue (retrieved 2026-10-09); every order, cost, customer and financial figure is synthetic. No relationship with or endorsement by any real company is implied.

Basis of preparation

> Simulated accounts of a fictional retailer, generated by double-entry accounting from synthetic operational data.

Policy	Treatment
Revenue	Recognised at hand-off (store pickup or loading to the customer's carrier); orders and deposits before that are contract liabilities.
Customer deposits	50% on custom, special and scheduled in-stock orders (30% for trade); balance due before pickup; held gross of GST until applied.
Delivery	Third-party delivery is booked and paid by the customer directly - not revenue. Flat-rate delivery collected for a partner carrier is an agent liability.
Protection plans	Sold as agent; only the retailer's 40% commission is revenue, the remainder is remitted to the insurer.
Cancellations & returns	Custom orders in production retain a 25% cancellation fee; in-stock returns within 3 days carry a 15% restocking fee.
Inventory	Perpetual at purchase cost; stocked goods (1200) and goods allocated to customer orders (1210) shown separately.
Tax	GST 5%, quarterly; income tax 11% small-business rate on the first $500K, 23% above, YTD true-up; prior year paid 31 March.
Opening position	Explicit 31-Dec-2023 balances (cash, assets, inventory, deposits, payables, debt, share capital); opening retained earnings is the documented residual.

Income statement (CAD)

CAD	FY2024	FY2025	YTD Sep-2026
Sofas & sectionals	2,863,709	3,056,792	2,743,517
Bedroom	1,774,442	1,774,560	1,444,196
Mattresses & bases	830,812	939,197	705,955
Dining	2,118,105	2,473,845	1,772,022
Living & occasional	1,122,667	1,261,008	1,030,786
Home office	67,947	97,507	55,462
Décor & lighting	584,306	599,296	532,293
Gross furniture sales	9,361,988	10,202,204	8,284,231
Less: discounts & promotional allowances	(553,066)	(591,272)	(492,454)
Less: sales returns	(133,394)	(75,029)	(70,475)
Net furniture sales	8,675,528	9,535,903	7,721,302
Protection-plan commissions (agent, net)	44,001	52,745	37,456
Restocking fees	20,009	11,254	10,571
Retained cancellation fees	33,468	32,920	15,693
Total net revenue	8,773,006	9,632,822	7,785,022
Cost of goods sold - merchandise	(4,738,542)	(5,201,384)	(4,233,889)
Freight-in & supplier charges	(190,943)	(220,482)	(171,944)
Inventory variances, shrinkage & write-offs	(49,241)	(53,051)	(42,937)
Cost of goods sold	(4,978,726)	(5,474,916)	(4,448,771)
Gross profit	3,794,280	4,157,906	3,336,252
Employee compensation (incl. commissions & designers)	(1,475,908)	(1,569,525)	(1,229,826)
Occupancy (rent, CAM & property tax, utilities)	(747,565)	(764,328)	(582,941)
Marketing & advertising	(453,738)	(498,214)	(381,099)
General & administrative (insurance, professional, IT)	(196,036)	(200,418)	(153,363)
Warehouse, fulfilment & design-consult costs	(75,364)	(80,840)	(62,724)
Card & financing-partner fees	(199,465)	(229,001)	(184,335)
Operating expenses (before depreciation)	(3,148,074)	(3,342,328)	(2,594,287)
EBITDA	646,206	815,578	741,964
Depreciation	(99,673)	(111,357)	(69,756)
Operating income (EBIT)	546,533	704,221	672,208
Interest expense	(38,618)	(21,836)	(10,078)
Income before tax	507,916	682,386	662,130
Income taxes	(56,821)	(96,949)	(92,290)
Net income	451,095	585,437	569,840

Common-size (% of total net revenue)

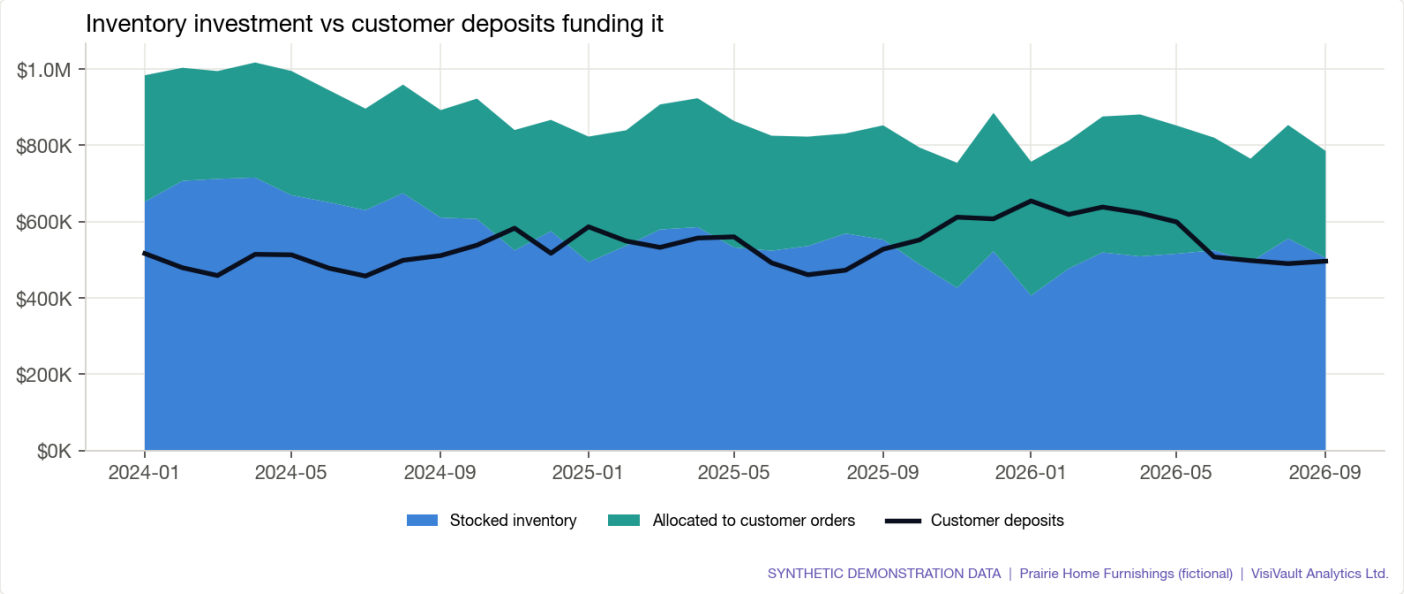
% of net revenue	2024	2025	2026
Net furniture sales	98.9%	99.0%	99.2%
Cost of goods sold	-56.8%	-56.8%	-57.1%
Gross profit	43.2%	43.2%	42.9%
Employee compensation (incl. commissions & designers)	-16.8%	-16.3%	-15.8%
Occupancy (rent, CAM & property tax, utilities)	-8.5%	-7.9%	-7.5%
Marketing & advertising	-5.2%	-5.2%	-4.9%
General & administrative (insurance, professional, IT)	-2.2%	-2.1%	-2.0%
Warehouse, fulfilment & design-consult costs	-0.9%	-0.8%	-0.8%
Card & financing-partner fees	-2.3%	-2.4%	-2.4%
EBITDA	7.4%	8.5%	9.5%
Net income	5.1%	6.1%	7.3%

Balance sheet (CAD)

CAD	31-Dec-2024	31-Dec-2025	30-Sep-2026
Cash	943,168	1,370,392	1,722,170
Receivables (card, financing partner, trade)	85,556	83,405	73,595
Inventory - stocked merchandise	574,624	521,690	505,080
Inventory - allocated to customer orders	291,770	363,036	279,846
Prepaid expenses	-	-	16,873
GST recoverable	-	-	-
Total current assets	1,895,117	2,338,523	2,597,564
Fixed assets at cost	810,000	894,000	922,000
Accumulated depreciation	(489,673)	(601,030)	(670,786)
Net fixed assets	320,327	292,970	251,214
TOTAL ASSETS	2,215,445	2,631,493	2,848,779
Accounts payable	556,893	665,486	514,001
Accrued payroll & commissions	59,042	64,868	68,086
Customer deposits (contract liabilities)	516,722	606,956	495,984
Amounts collected as agent (carrier, insurer)	6,186	7,530	7,385
GST payable	30,108	31,594	36,832
Income taxes payable	56,821	96,949	92,290
Revolving line of credit	-	-	-
Current portion of term loan	125,000	125,000	125,000
Total current liabilities	1,350,771	1,598,383	1,339,578
Term loan (non-current)	250,000	125,000	31,250
TOTAL LIABILITIES	1,600,771	1,723,383	1,370,828
Share capital	250,000	250,000	250,000
Retained earnings	364,674	658,111	658,111
Current-year earnings	-	-	569,840
TOTAL EQUITY	614,674	908,111	1,477,951
TOTAL LIABILITIES AND EQUITY	2,215,445	2,631,493	2,848,779

Cash flow statement - indirect (CAD)

CAD	FY2024	FY2025	YTD Sep-2026
Net income	451,095	585,437	569,840
Depreciation	99,673	111,357	69,756
(Increase) decrease in receivables	(75,764)	2,150	9,810
Inventory investment: (increase) decrease in inventory	193,816	(18,332)	99,799
Increase (decrease) in accounts payable (supplier & vendor credit)	56,259	108,593	(151,485)
Increase (decrease) in customer deposits	(49,194)	90,234	(110,972)
Other working capital (prepaid, accrued, agent, GST, tax)	52,282	48,784	(13,220)
Net cash from operating activities	728,168	928,224	473,528
Capital expenditures	(85,000)	(84,000)	(28,000)
Net cash used in investing activities	(85,000)	(84,000)	(28,000)
Revolver draws	-	-	-
Revolver repayments	-	-	-
Term-loan repayments	(125,000)	(125,000)	(93,750)
Dividends paid	(225,000)	(292,000)	-
Net cash from (used in) financing activities	(350,000)	(417,000)	(93,750)
Net change in cash	293,168	427,224	351,778
Opening cash	650,000	943,168	1,370,392
Ending cash balance	943,168	1,370,392	1,722,170

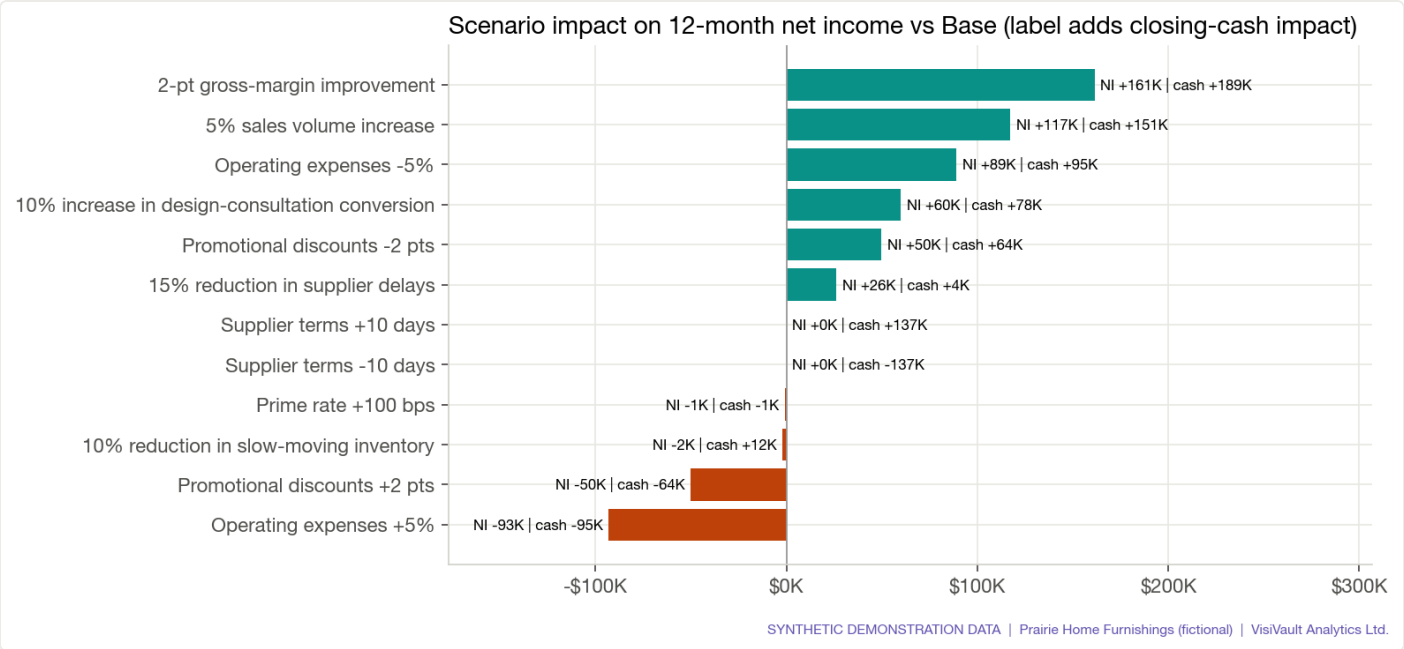


Ratio analysis

ratio	FY2024	FY2025	TTM Sep-2026	direction	management_action
Gross profit margin	43.25	43.16	42.99	deteriorated	Tighten discretionary discounts, price custom upholstery to its true lead-time cost, push high-margin décor attachment.
EBITDA margin	7.37	8.47	9.23	improved	Hold payroll flat as sales grow (designer-led selling), review marketing mix by attributed revenue.
Net profit margin	5.14	6.08	6.83	improved	Combine margin and cost actions; keep debt low.
Return on assets	20.87	23.96	25.79	improved	Release cash tied in aged stock; invest surplus cash or repay debt.
Return on equity	75.31	66.22	59.69	deteriorated	Profit growth and a disciplined dividend policy.
Current ratio	1.40	1.46	1.94	improved	Comfortable; monitor as deposits grow with the custom backlog.
Quick ratio	0.76	0.91	1.34	improved	Strong cash position - consider deploying idle cash.
Working capital	544,346	740,140	1,257,986	improved	Size working capital to the custom backlog and seasonal peaks (Nov-Jan, spring).
Inventory funded by customer deposits	0.60	0.69	0.63	deteriorated	Keep 50% deposits on custom and special orders; consider a deposit on high-value in-stock reservations.
Inventory turnover	5.03	6.22	6.83	improved	Service-level reorder points for A items, clear >180-day stock, buy deeper only on proven sellers.
Days inventory outstanding	72.55	58.69	53.44	improved	Cut cover on C-class décor and slow case goods.
Days sales outstanding	2.75	3.44	3.07	improved	Short already; follow up trade accounts at 30 days.
Days payables outstanding	36.12	37.19	36.37	deteriorated	Negotiate Net 45-60 with importers in exchange for volume commitments.
Cash conversion cycle	39.19	24.94	20.14	improved	Lower DIO and lengthen DPO.
Cash conversion cycle after customer deposits	1.82	-11.07	-15.51	improved	Protect deposit discipline; shorten custom lead times to release deposits into revenue sooner.
Asset turnover	4.06	3.94	3.78	deteriorated	Grow revenue per square foot via design consultations and room packages.
Debt-to-equity	0.61	0.28	0.11	improved	Low; the term loan is nearly repaid.
Interest coverage	14.15	32.25	58.52	improved	Very comfortable.

12-month forecast and scenarios (FORECAST)

12 months to Sep-2027 (FORECAST)	Conservative	Base	Optimistic
net_revenue	9,249,136	10,054,077	10,844,374
gross_profit	3,879,628	4,322,092	4,885,304
ebitda	380,793	797,353	1,291,547
net_income	258,375	611,286	991,815
cfo	132,899	603,439	1,174,585
closing_cash	1,381,069	1,812,609	2,337,755
closing_working_capital	1,211,126	1,525,037	1,859,566
closing_deposits	529,230	547,192	559,107



The integrated Excel model (*Prairie_Home_Integrated_Financial_Model.xlsx*) recalculates all three statements when assumptions change. Excel's own recalculation of Base; Conservative; Custom matched the Python engine to within $0.000000.

Validation

#	check	result	detail
1	General ledger balances: total debits = total credits (every journal entry)	PASS	40,842 journal entries / 136,189 lines; debits $177,224,863.54 = credits $177,224,863.54; unbalanced entries: 0
2	Trial balances balance; AR, AP and customer-deposit sub-ledgers equal their control accounts	PASS	34 monthly trial balances; max sub-ledger difference: AP $0.00, AR $0.00, Customer deposits $0.00
3	Accounting equation: assets = liabilities + equity (every month-end, opening and forecast)	PASS	Historical max |A-L-E| $0.00; opening $0.00; forecast (3 scenarios) $0.000000
4	Retained-earnings movements: opening + net income - dividends = closing; current-year earnings = YTD net income	PASS	FY2024: 138,578 + 451,095 -225,000 = 364,674; FY2025: + 585,437 -292,000 = 658,111; YTD-2026 earnings 569,840
5	Cash-flow reconciliation: ending cash = balance-sheet cash (monthly, quarterly, annual, forecast); direct = indirect	PASS	Indirect-method ending cash ties every period; direct-method net change matches every month
6	Inventory: GL stocked (1200) and customer-allocated (1210) balances equal the movement records	PASS	Month-end values reconcile for both states (max difference $0.00); stocked $505,080, allocated $279,846 at 30-Sep-2026
7	Revenue, discounts, returns, fees and COGS reconcile to order, return, cancellation and movement records; bookings-to-revenue bridge has no residual	PASS	14 lines x 33 months; residual of written-sales-to-revenue bridge $0.00
8	Customer deposits (contract liabilities) equal deposits held on open orders; delivery fees paid to carriers never recorded as revenue	PASS	Deposits $495,984 at 30-Sep-2026 tie to the open-order register every month; agent collections held in 2360/2370 only
9	No balancing plugs	PASS	No suspense/plug accounts; every line comes from a documented journal source; every balance-sheet account maps to one cash-flow line; opening retained earnings is the documented residual of the explicit opening position; forecast has no circular references
10	Forecasts remain integrated when assumptions change (Python and Excel)	PASS	50 random assumption sets: max |A-L-E| or |cash difference| $0.000000; Excel recalculation (Base; Conservative; Custom): max |Excel - Python| $0.000000, Excel checks TRUE = True
11	All synthetic financial information is labelled	PASS	31 financial CSV tables carry data_status; 43 workbook sheets carry the SIMULATED banner; 5 HTML/PDF reports labelled

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